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23rd August 2012,

**The Chief Executive,
Nairobi Securities Exchange Limited,
1st Floor,
Nation Centre,
Kimathi Street,
NAIROBI.**

Dear Sir,

**RE: NIC BANK LIMITED-PUBLICATION OF UN-AUDITED FINANCIAL
STATEMENTS FOR THE PERIOD ENDED 30th JUNE 2012**

We wish to inform you that our Group and Bank results for the period ended 30th June 2012 have been approved by the Board of Directors.

Please find enclosed herewith in accordance with the Continuing Listing Obligations;

- a) Interim Reports as at 30th June 2012; and
- b) The Balance Sheet, Profit and loss Account and Other disclosures in accordance with the Central Bank of Kenya prescribed format, for publication in the Daily Nation and the East African Standard on Friday 24th August 2012.

Kindly acknowledge receipt.

Yours faithful lly,


**Lucy Njoroge,
Head of Finance**

Encls.

The Board of Directors of NIC Bank Limited is pleased to announce the Un-audited financial results of the Group and Bank for the period ended 30th June, 2012.

BALANCE SHEET								
Group					Bank			
30th June, 2012	31st March, 2012	31st Dec, 2011	30th June, 2011	30th June, 2012	31st March, 2012	31st Dec, 2011	30th June, 2011	
Un-audited	Un-audited	Audited	Un-audited	Un-audited	Un-audited	Audited	Un-audited	
Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	
ASSETS								
Cash (both Local & Foreign)	754,218	851,670	593,233	580,164	647,683	562,869	474,243	
Balances due from Central Banks	6,051,882	6,387,782	3,459,824	5,245,766	5,456,417	4,201,757	2,539,570	
Government securities	3,213,260	3,410,241	5,485,373	2,985,044	3,080,190	3,077,723	5,055,074	
Foreign Currency Treasury Bills & Bonds								
Deposits and balances due from local banking institutions	4,132,763	4,814,556	2,184,480	2,790,546	4,003,622	635,233	1,348,133	
Deposits and balances due from banking institutions abroad	3,240,760	4,885,282	2,869,805	2,697,164	3,449,947	3,851,242	2,731,373	
Government and other securities held for dealing purposes	5,319,856	4,700,305	3,366,317	5,177,941	4,700,305	4,139,032	3,366,317	
Tax recoverable	14,028	11,022	22,161	8,690	-	-	-	
Loans and advances to customers (net)	62,995,414	56,556,355	47,263,092	57,808,875	52,194,916	52,025,475	44,515,093	
Investment securities	51,735	48,289	34,001	-	-	-	-	
Balances due from group companies	-	-	-	951,342	907,597	1,360,846	56,752	
Investments in associates	-	-	-	-	-	-	-	
Investments in subsidiary companies	-	-	-	2,109,324	2,109,324	1,147,786	1,147,786	
Investments in joint ventures	-	-	-	-	-	-	-	
Investment properties	-	-	-	-	-	-	-	
Property and equipment	993,234	936,817	738,540	856,867	855,019	851,768	700,124	
Prepaid lease rentals	7,438	7,469	7,562	7,438	7,469	7,500	7,562	
Intangible assets	1,163,896	1,135,630	895,251	530,452	499,328	400,544	256,946	
Deferred tax asset	360,870	361,081	12,113	348,945	348,945	348,946	-	
Retirement benefit asset	-	-	-	-	-	-	-	
Other assets	964,546	760,197	880,206	523,996	572,157	970,600	582,650	
TOTAL ASSETS	88,663,900	84,866,696	67,811,958	82,613,864	78,832,919	73,581,321	62,781,623	
LIABILITIES								
Balances due to Central Banks	-	-	-	-	-	-	-	
Customer deposits	72,719,455	69,293,378	55,521,105	67,791,301	64,614,313	62,008,953	52,069,441	
Deposits and balances due to local banking institutions	533,191	902,885	1,999,944	-	101,940	206,149	1,026,429	
Deposits and balances due to foreign banking institutions	150,407	-	-	150,407	-	-	-	
Other money market deposits	-	-	-	-	-	-	-	
Borrowed funds	1,940,128	1,941,220	269,253	1,940,128	1,941,220	190,280	269,253	
Balances due to group companies	-	-	-	240,598	229,378	322,115	215,068	
Tax payable	102,771	531,881	88,470	100,778	525,785	223,321	81,385	
Dividends payable	-	-	-	-	-	-	-	
Deferred tax liability	-	-	-	-	-	-	-	
Retirement benefit liability	-	-	10,014	-	-	-	10,014	
Other liabilities	1,067,983	791,754	880,472	743,705	576,785	730,643	616,408	
TOTAL LIABILITIES	76,513,935	73,461,118	58,769,258	70,966,917	67,989,421	63,681,461	54,287,998	
EQUITY								
Paid up / Assigned capital	1,974,488	1,974,488	1,974,488	1,974,488	1,974,488	1,974,488	1,974,488	
Share premium	-	-	-	-	-	-	-	
Revaluation reserves	(224,022)	(193,637)	(319,249)	63,000	(39,509)	(277,300)	(272,449)	
Retained earnings	9,314,779	8,514,864	6,526,111	9,044,855	8,301,005	7,596,429	6,363,517	
Statutory loan reserves	590,666	534,852	431,258	564,604	508,790	507,519	428,069	
Proposed dividends	-	98,724	-	-	98,724	98,724	-	
Capital grants	-	-	-	-	-	-	-	
Non-controlling interests	11,655,911	10,929,291	8,612,608	11,646,947	10,843,498	9,899,860	8,493,625	
TOTAL EQUITY	12,149,965	11,405,578	9,042,700	11,646,947	10,843,498	9,899,860	8,493,625	
TOTAL LIABILITIES AND EQUITY	88,663,900	84,866,696	67,811,958	82,613,864	78,832,919	73,581,321	62,781,623	

PROFIT AND LOSS ACCOUNT

	Group			Bank		
	30th June, 2012 Un-audited Shs '000	31st March, 2012 Un-audited Shs '000	31st Dec, 2011 Audited Shs '000	30th June, 2012 Un-audited Shs '000	31st March, 2012 Un-audited Shs '000	30th June, 2011 Un-audited Shs '000
INTEREST INCOME						
Loans and advances	4,912,492	2,392,350	6,020,072	4,525,620	2,215,886	5,526,584
Government securities	560,739	246,571	660,195	491,141	237,616	631,526
Deposits and placements with banking institutions	106,600	49,050	137,689	96,098	41,189	113,675
Other Interest Income	17,416	8,534	13,625	17,416	8,534	28,187
TOTAL INTEREST INCOME	5,597,247	2,696,505	6,831,581	5,120,275	2,503,225	6,285,410
INTEREST EXPENSE						
Customer deposits	2,912,630	1,419,361	2,417,373	2,742,428	1,337,079	2,261,284
Deposits and placement from banking institutions	141,535	94,746	121,156	97,437	73,009	62,211
Other interest expenses	24,192	17,083	13,564	22,905	4,316	10,431
TOTAL INTEREST EXPENSE	3,078,357	1,518,423	2,552,093	2,862,770	1,414,404	2,337,059
NET INTEREST INCOME	2,518,890	1,178,082	4,279,488	2,257,505	1,088,821	3,948,351
OTHER OPERATING INCOME						
Fees and commissions on loans and advances	274,628	126,169	551,683	246,197	111,572	461,485
Other fees and commissions	250,778	126,119	464,899	227,324	113,682	422,252
Foreign exchange trading income	675,888	343,807	946,410	638,483	321,331	851,587
Dividend Income	-	-	-	-	-	-
Other income	329,269	98,727	418,652	226,071	76,588	244,154
TOTAL NON-INTEREST INCOME	1,530,563	694,822	2,381,644	1,338,075	623,173	1,979,478
TOTAL OPERATING INCOME	4,049,453	1,872,904	6,661,132	3,595,580	1,711,994	843,672
OPERATING EXPENSES						
Loan loss provision	105,070	66,459	258,151	82,054	42,797	249,166
Staff costs	883,073	417,868	1,480,668	736,775	363,880	1,229,415
Directors' emoluments	78,108	36,960	117,582	50,830	23,321	97,170
Rental charges	102,494	36,989	137,530	73,346	28,405	95,846
Depreciation charge on property and equipment	91,810	44,308	157,276	79,583	38,900	143,259
Amortisation charges	31,406	15,348	41,512	27,693	13,592	68,436
Other operating expenses	480,034	221,966	863,465	394,566	192,743	35,572
TOTAL OPERATING EXPENSES	1,771,995	839,898	3,056,184	1,444,847	703,638	716,799
Profit before tax and exceptional items	2,277,458	1,033,006	3,604,948	2,150,733	1,008,356	1,353,634
Exceptional items	-	-	-	-	-	-
PROFIT AFTER EXCEPTIONAL ITEMS	2,277,458	1,033,006	3,604,948	2,150,733	1,008,356	1,353,634
Current tax	(684,083)	(309,963)	(1,070,517)	(645,220)	(302,507)	(999,157)
Deferred tax	-	-	172,705	-	-	171,603
PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	1,593,375	723,043	2,707,136	1,505,513	705,849	1,028,019
EARNINGS PER SHARE- BASIC & DILUTED						
INTERIM DIVIDEND PER SHARE - PAID	4.03	1.83	6.86	3.81	1.79	6.41
FINAL DIVIDEND PER SHARE - DECLARED	-	-	0.25	-	-	0.25
	-	-	0.25	-	-	0.25

OTHER DISCLOSURES

1. NON-PERFORMING LOANS AND ADVANCES

- (a) Gross Non-performing loans and advances
(b) Less Interest in Suspense
(c) **TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)**
(d) Less Loan Loss Provision
(e) **NET NON-PERFORMING LOANS AND ADVANCES (c-d)**
(f) Discounted Value of Securities
(g) **NET NPLS EXPOSURE (e-f)**

2. INSIDER LOANS AND ADVANCES

- (a) Directors, Shareholders and Associates
(b) Employees

3. OFF-BALANCE SHEET ITEMS

(a) TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES

- (a) Letters of credit, guarantees, acceptances
(b) Other contingent liabilities

(c) TOTAL CONTINGENT LIABILITIES

4. CAPITAL STRENGTH

- (a) Core capital
(b) Minimum Statutory Capital
(c) **Excess (a-b)**
(d) Supplementary Capital
(e) **TOTAL CAPITAL (a+d)**

(f) TOTAL RISK WEIGHTED ASSETS

- (g) Core Capital / Total deposits liabilities
(h) Minimum statutory ratio
(i) **Excess (g-h)**

- (j) Core Capital / Total risk weighted assets
(k) Minimum statutory ratio
(l) **Excess (j-k)**

- (m) Total Capital / Total risk weighted assets
(n) Minimum statutory ratio
(o) **Excess (m-n)**

5. LIQUIDITY

- (a) Liquidity Ratio
(b) Minimum statutory ratio
(c) **Excess (a-b)**

	Group			Bank		
	30th June, 2012 Un-audited Shs '000	31st March, 2012 Un-audited Shs '000	31st Dec, 2011 Audited Shs '000	31st March, 2012 Un-audited Shs '000	31st Dec, 2011 Audited Shs '000	30th June, 2011 Un-audited Shs '000
(a) Gross Non-performing loans and advances	2,942,134	2,805,303	2,721,451	2,805,303	2,721,451	2,702,238
(b) Less Interest in Suspense	1,192,998	1,179,738	1,064,779	1,179,738	1,064,779	881,912
(c) TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	1,749,136	1,625,565	1,656,672	1,625,565	1,656,672	1,820,326
(d) Less Loan Loss Provision	1,640,814	1,625,331	1,587,162	1,625,331	1,587,162	1,387,217
(e) NET NON-PERFORMING LOANS AND ADVANCES (c-d)	108,322	234	69,510	234	69,510	433,109
(f) Discounted Value of Securities	108,322	234	69,510	234	69,510	433,109
(g) NET NPLS EXPOSURE (e-f)	-	-	-	-	-	-
(a) Directors, Shareholders and Associates	1,449,092	1,447,478	1,559,786	1,447,478	1,559,786	1,317,578
(b) Employees	614,018	594,521	587,883	594,521	587,883	478,281
(c) TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES	2,063,110	2,041,999	2,147,669	2,041,999	2,147,669	1,795,859
(a) Letters of credit, guarantees, acceptances	15,781,063	12,648,910	12,829,381	12,648,910	12,829,381	10,888,050
(b) Other contingent liabilities	3,599,618	8,678,917	10,519,850	8,678,917	10,519,850	14,875,801
(c) TOTAL CONTINGENT LIABILITIES	19,380,681	21,327,827	23,349,231	21,327,827	23,349,231	25,763,851
(a) Core capital	8,708,764	8,364,746	9,073,356	8,364,746	9,073,356	7,227,711
(b) Minimum Statutory Capital	700,000	700,000	700,000	700,000	700,000	500,000
(c) Excess (a-b)	8,008,764	7,664,746	8,373,356	7,664,746	8,373,356	6,727,711
(d) Supplementary Capital	604,570	548,756	547,485	548,756	547,485	470,426
(e) TOTAL CAPITAL (a+d)	9,313,334	8,913,502	9,620,841	8,913,502	9,620,841	7,698,136
(f) TOTAL RISK WEIGHTED ASSETS	68,545,629	61,350,838	60,555,497	61,350,838	60,555,497	52,795,566
(g) Core Capital / Total deposits liabilities	12.90%	13.00%	14.68%	13.00%	14.68%	13.93%
(h) Minimum statutory ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
(i) Excess (g-h)	4.90%	5.00%	6.68%	5.00%	6.68%	5.93%
(j) Core Capital / Total risk weighted assets	12.71%	13.63%	14.98%	13.63%	14.98%	13.69%
(k) Minimum statutory ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
(l) Excess (j-k)	4.71%	5.63%	6.98%	5.63%	6.98%	5.69%
(m) Total Capital / Total risk weighted assets	13.59%	14.53%	15.89%	14.53%	15.89%	14.58%
(n) Minimum statutory ratio	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%
(o) Excess (m-n)	1.59%	2.53%	3.89%	2.53%	3.89%	2.58%
(a) Liquidity Ratio	29.45%	33.94%	27.41%	33.94%	27.41%	28.61%
(b) Minimum statutory ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
(c) Excess (a-b)	9.45%	13.94%	7.41%	13.94%	7.41%	8.61%

The financial statements are extracts from the books of the institution.

By order of the Board,

Livingstone Muraige
Group Company Secretary



**INTERIM FINANCIAL STATEMENTS FOR THE SIX
MONTHS ENDED
30 JUNE 2012**

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NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2012
CONSOLIDATED INCOME STATEMENT

		SIX MONTHS ENDED	
		30 June	30 June
		2012	2011
		Un-audited	Un-audited
Note		Shs'000	Shs'000
Interest income		5,597,247	2,716,648
Interest expense		(3,078,357)	(783,182)
NET INTEREST INCOME		2,518,890	1,933,466
Fee and commission income		525,406	447,558
Fee and commission expense		(28,678)	(29,033)
NET FEE AND COMMISSION INCOME		496,728	418,525
Foreign exchange income		675,888	362,553
Other operating income		329,269	233,609
OPERATING INCOME		4,020,775	2,948,153
Impairment on loans and advances		(105,070)	(78,060)
Employee expenses		(961,181)	(764,832)
General and administrative expenses		(677,066)	(504,180)
OPERATING EXPENSES		(1,743,317)	(1,347,072)
PROFIT BEFORE TAX		2,277,458	1,601,081
Income tax expense		(684,083)	(505,275)
PROFIT FOR THE PERIOD		1,593,375	1,095,806
Profit attributable to:			
Equity holders of the parent entity		1,568,467	1,080,181
Non-controlling interests		24,908	15,625
		1,593,375	1,095,806
EARNINGS PER SHARE			
- BASIC & DILUTED		4.03	Shs 2.77
DIVIDEND PER SHARE			
- DECLARED		-	Shs 0.25

NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2012

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	SIX MONTHS ENDED	
	30 June	30 June
	2012	2011
	Un-audited	Un-audited
	Shs'000	Shs'000
PROFIT FOR THE PERIOD	1,593,375	1,095,806
OTHER COMPREHENSIVE INCOME:		
Exchange differences on translation of foreign operations	(207,938)	23,913
Fair value changes in available-for-sale financial assets		
– Government securities	340,300	(340,499)
OTHER COMPREHENSIVE INCOME FOR THE PERIOD NET OF TAX	132,362	(316,586)
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	1,725,736	779,220
Total comprehensive income attributable to:		
Equity holders of the parent entity	1,700,828	763,595
Non-controlling interests	24,908	15,625
	1,725,736	779,220

NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2012
CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	AS AT	
	30 June 2012	31 December 2011
	Un-audited Shs'000	Audited Shs'000
ASSETS		
Cash and balances with Central banks	6,806,100	5,638,916
Items in the course of collection	135,040	281,796
Deposits and balances due from banking institutions	7,373,523	5,692,655
Government securities	8,533,116	7,500,288
Derivative assets held for risk management	474,068	474,068
Loans and advances to customers	62,395,414	56,624,621
Other assets	394,088	335,487
Current income tax recoverable	14,028	8,690
Other Investment	12,113	52,932
Deferred tax asset	361,842	361,842
Property and equipment	993,234	967,988
Intangible assets	1,163,896	1,037,222
Operating lease prepayments	7,438	7,500
Total assets	88,663,900	78,984,005
LIABILITIES		
Customer deposits	72,719,455	66,293,053
Deposits and balances due to banking institutions	683,598	788,647
Line of credit	1,940,128	190,280
Current income tax payable	102,771	229,538
Other liabilities	1,038,051	903,629
Unclaimed dividends	29,932	55,905
Total liabilities	76,513,935	68,461,052
EQUITY		
Capital and reserves attributable to equity holders of the Bank		
Share capital	1,974,488	1,974,488
Revaluation surplus on property	159,864	159,864
Investments revaluation reserve	(96,864)	(437,164)
Translation reserve	(287,022)	(79,084)
Statutory credit risk reserve	590,666	533,581
Revenue reserves	9,314,779	7,902,122
Total capital and attributable to equity holders of the Bank	11,655,911	10,053,807
Non-controlling interests	494,054	469,146
Total equity	12,149,965	10,522,953
Total liabilities and equity	88,663,900	78,984,005

Interim Financial Statements for the six months ended 30 June 2012

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2012

	Non-Distributable				Distributable					
	Share Capital Shs'000	Share Premium Shs'000	Revaluation Surplus on property Shs'000	Investment revaluation reserve Shs'000	Translation reserve Shs'000	Statutory Reserve Shs'000	Revenue Reserves Shs'000	Equity attributable to equity holders Shs'000	Non-controlling interests Shs'000	Total Shs'000
At 1 January 2011	1,794,989	28,848	164,645	(96,595)	(70,713)	369,372	5,748,216	7,938,762	414,467	8,353,229
Profit for the period	-	-	-	-	-	-	1,080,181	1,080,181	15,625	1,095,806
Other comprehensive income for the period	-	-	-	-	23,913	-	-	23,913	-	23,913
Foreign currency translation differences	-	-	-	-	-	-	-	-	-	-
Fair value changes in available-for-sale financial assets – Government securities	-	-	-	(340,499)	-	-	-	(340,499)	-	(340,499)
Total comprehensive income for the period	-	-	-	(340,499)	23,913	-	1,080,181	763,595	15,625	779,220
Bonus issue of shares	179,499	(28,848)	-	-	-	-	(150,651)	-	-	-
Expenses relating to bonus issue of shares	-	-	-	-	-	-	-	-	-	-
Transfer to statutory reserve	-	-	-	-	-	61,886	(61,886)	-	-	-
Dividends:	-	-	-	-	-	-	-	-	-	-
- final 2010 - paid	-	-	-	-	-	-	(89,749)	(89,749)	-	(89,749)
At 30 June 2011	1,974,488	-	164,645	(437,094)	(46,800)	431,258	6,526,111	8,612,608	430,092	9,042,700
At 1 January 2012	1,974,488	-	159,864	(437,164)	(79,084)	533,581	7,902,122	10,053,807	469,146	10,522,953
Profit for the period	-	-	-	-	-	-	1,568,467	1,568,467	24,908	1,593,375
Other comprehensive income for the period	-	-	-	-	(207,938)	-	-	(207,938)	-	(207,938)
Foreign currency translation differences	-	-	-	-	-	-	-	-	-	-
Fair value changes in available-for-sale financial assets – Government securities	-	-	-	340,300	-	-	-	340,300	-	340,300
Total comprehensive income for the period	-	-	-	340,300	(207,938)	-	1,568,466	1,700,828	24,908	1,725,736
Transfer to statutory reserve	-	-	-	-	-	57,085	(57,085)	-	-	-
Dividends:	-	-	-	-	-	-	-	-	-	-
- final for 2011 - paid	-	-	-	-	-	-	(98,724)	(98,724)	-	(98,724)
At 30 June 2012	1,974,488	-	159,864	(96,864)	(287,022)	590,666	9,314,779	11,655,911	494,054	12,149,965

NIC Bank Limited**Interim Financial Statements for the six months ended 30 June 2012****CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 30 JUNE 2012**

	30-June 2012 Un-audited Shs'000	31December 2011 Audited Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from operations	4,242,165	692,663
Income tax paid	(816,188)	(1,020,833)
Net cash generated from /(used in) operating activities	3,425,977	(328,170)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of equipment	(117,055)	(375,026)
Purchase of intangible assets	(158,080)	(311,238)
Proceeds on sale of equipment	-	1,012
Net cash used in investing activities	(275,135)	(685,252)
CASH FLOWS FROM FINANCING ACTIVITIES		
Dividends paid	(124,697)	(182,749)
Net cash used in financing activities	(124,697)	(182,749)
NET INCREASE IN CASH AND CASH EQUIVALENTS	3,026,145	(1,196,171)
CASH AND CASH EQUIVALENTS		
AT 1 JANUARY	7,055,642	8,254,584
Effect of foreign exchange rate changes	(25,891)	(2,771)
AT 30 JUNE	10,055,896	7,055,642

Analysis of balances of cash and cash equivalents

Cash on hand	754,218	718,687
Balance with Central Bank of Kenya	1,979,739	956,716
Treasury bills	228,216	16,069
Treasury bonds	268,758	178,366
Deposits and balances due from banking institutions	7,373,523	5,692,655
Items in course of collection from other banks	135,040	281,796
Deposits and balances due to banking institutions	(683,598)	(788,647)
	10,055,896	7,055,642

NOTES TO THE FINANCIAL STATEMENTS

1) Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these consolidated interim financial statements are consistent with those used in the Audited Annual Financial Statements for the year ended 31 December 2011 and have been prepared in accordance with International Accounting Standards 34, Interim Financial Reporting. These interim financial statements should be read together with the 2011 Audited Annual Financial Statements.

2) Dividend per share

At the Annual General Meeting held on 2 May 2012, a final dividend in respect of 2011 of Shs 0.25 per share (2010 - Shs 0.25 per share) amounting to a total of Shs 98,724,000 (2010 - Shs 89,749,000) was approved by the shareholders and paid.

3) Rights Issue

The Bank intends to issue 98,724,391 Rights to purchase New Ordinary Shares at an Offer Price of Shs 21 per share. The Rights will be issued in the ratio of one (1) New Ordinary Share for every four (4) Ordinary Shares held to all the shareholders in the register as at 30th July, 2012. The Rights Issue will be carried out between 27th August and 14th September 2012.

4) Regional Expansion

In line with the bank's regional expansion strategy, the Board of Directors approved the establishment of a subsidiary in Uganda, later ratified by the shareholders at the Annual General Meeting on the 2nd May 2012. The capital injection for this investment is Shs 961,000,000 (US\$ 25,000,000,000).

5) Segmental reporting – Geographical segment

With the acquisition of NC Bank Uganda Ltd with effect from 1 June 2012, the Group operations are within three geographical segments, Kenya, Tanzania and Uganda. The table below contains segmental information provided to the Group Executive Committee of management.

June 2012

	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Total Operating Income	<u>3,678,242</u>	<u>281,964</u>	<u>60,569</u>	<u>4,020,775</u>
Profit / (Loss) Before tax	<u>2,206,996</u>	<u>72,000</u>	<u>(1,538)</u>	<u>2,277,458</u>
Profit After tax	<u>1,544,899</u>	<u>50,014</u>	<u>(1,538)</u>	<u>1,593,375</u>
Loans and advances to customers	<u>57,808,875</u>	<u>4,524,769</u>	<u>61,770</u>	<u>62,395,414</u>
Customer deposits	<u>67,791,301</u>	<u>4,926,613</u>	<u>1,541</u>	<u>72,719,455</u>

NIC Bank Limited
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NOTES TO THE FINANCIAL STATEMENTS (continued)

June 2011

	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Total Operating Income	<u>2,707,628</u>	<u>240,525</u>	<u>-</u>	<u>2,948,153</u>
Profit Before tax	<u>1,556,713</u>	<u>44,368</u>	<u>-</u>	<u>1,601,081</u>
Profit After tax	<u>1,065,180</u>	<u>30,626</u>	<u>-</u>	<u>1,095,806</u>
Loans and advances to customers	<u>44,515,093</u>	<u>2,747,999</u>	<u>-</u>	<u>47,263,092</u>
Customer deposits	<u>52,069,441</u>	<u>3,451,664</u>	<u>-</u>	<u>55,521,105</u>

6) Contingent liabilities

	30 June 2012 Shs'000	31 December 2011 Shs'000	30 June 2011 Shs'000
Letters of credit, guarantees, acceptances	16,555,011	10,758,083	11,136,840
Other contingent liabilities	<u>3,599,618</u>	<u>10,519,850</u>	<u>14,875,801</u>
Total contingent liabilities	<u>20,254,629</u>	<u>21,277,933</u>	<u>26,012,641</u>